#11 · 2.8% of marks

Accounting & Technology

ICAI asks: "**which technology** fits this scenario and **why**?" Match the pain point to the tool, then explain how it works step by step.

① Scenario → tool (ICAI's own answers)

Pain point in the question	Tool	Why (ICAI reasoning)
Many subs (incl. foreign) — CFS must be **accurate, consistent, timely** (PYQ Sep 2025; MTP Nov 2026)	**RPA**	Bots extract each sub's data → currency conversion → identify & **eliminate intra-group** items (Ind AS 110) → compute **NCI**, OCI split → generate consolidated BS, P&L, SOCE, CFS
Finance teams in different locations working on same workings	**Cloud collaboration** (Teams, Google Workspace)	Real-time updates, **version control / audit trail**, access controls for sensitive data
Sensitive customer data (personal, transaction records) in a financial institution (PYQ Sep 2025)	**Blockchain**	Secure, encrypted network; cryptographic algorithms & consensus → integrity, no unauthorised access / tampering / loss; trust of customers & regulators
Data / software needed from any device; remote work	**Cloud computing**	Services delivered over the internet
Disconnected departments, duplicate data entry	**ERP**	Single integrated database across modules; real-time info
Fraud / anomaly detection, forecasting, document reading	**AI / data analytics**	Pattern recognition on full populations

② Cloud computing (PYQ May 2026 — 5 marks)

Definition: delivery of computing services **over the internet**, letting accountants access data & software **from any device** with internet — kept accounting & reporting running during lockdown.

- → **Cloud storage** — Dropbox, Google Drive, OneDrive
- → **SaaS** — Salesforce (CRM), Slack, QuickBooks Online
- → **IaaS** — AWS, Azure, Google Cloud (pay-as-you-go servers)
- → **PaaS** — Azure App Service, Google App Engine
- → **Communication & collaboration** — Teams, Workspace, Zoom
- → **Cloud e-commerce** — online stores, payments, inventory
- → **Big data analytics** — Redshift, BigQuery, Azure Data Lake
- → **Content streaming** — e.g., Netflix

Benefits: reduced costs (no hardware), scalability, anywhere access, real-time collaboration, improved reporting & analytics, automatic backup / updates.

3 ERP & controls (MTP Nov 2026 weaknesses)

Weakness flagged	Fix
Journal vouchers not standardised	Standard JV **templates**, mandatory fields, maker-checker approval
Changes to closing / reporting process not authorised	**Change management** with approval workflow & logs
Roles of finance staff undocumented	Documented roles, **segregation of duties** matrix
GL user access never reviewed	**Periodic user-access review**; remove leavers; least privilege
Inventory counts slow / error-prone	**Barcode / RFID** tracking linked to ERP

ERP benefits: unified database, lower management & operational costs, real-time reporting, standardised processes, better compliance.

4 Cybersecurity in accounting

Threats

Phishing · ransomware · malware · insider threats · weak passwords / credential theft · unpatched systems · data breaches

Proactive measures

MFA & access controls · encryption · staff training · patching · regular backups · firewalls / monitoring · incident-response plan

5 Blockchain & AI in reporting

- **Blockchain**: distributed, tamper-evident ledger → **transparency**, immutability, **real-time reporting**, fewer reconciliations (shared ledger with counterparties), **smart contracts** auto-executing terms
- **AI**: automated data capture (invoices), anomaly / fraud detection, predictive forecasting, chatbots, continuous audit
- **Automation / RPA**: rule-based repetitive tasks — bank recs, intercompany matching, closing entries; facilitates **compliance**

6 Law link — audit trail

- Companies (Accounts) Rules: accounting software must have an **audit trail (edit log)** that **cannot be disabled** (from 1 Apr 2023); auditor reports on it under **Rule 11(g)** of Audit & Auditors Rules
- Electronic books: backup on servers **physically located in India**, on a **daily** basis

Answer shape: **Name the tool → how it works in THIS scenario (steps) → benefit to accuracy / speed / security.** Tie to Ind AS where the question does (e.g., Ind AS 110 eliminations).